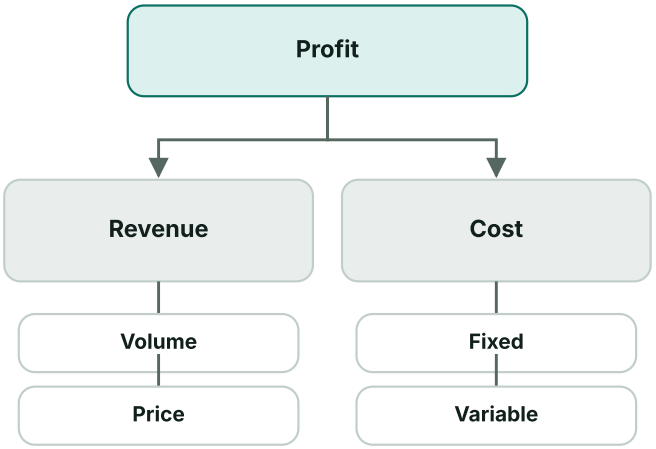
The Case Types Playbook

1. Profitability: why is profit falling?

- **Profit = Revenue − Cost**; Revenue = volume × price (by product, channel, region); Cost = fixed + variable
- Compare against last year and against competitors
- Revenue flat → look at cost and mix; revenue down → split volume from price
- Find the one or two drivers that explain most of the change before suggesting fixes

✎ DIAGRAM



Walk the tree branch by branch and size each driver.

2. Growth: how do we grow revenue?

- Existing customers (frequency, basket, share of wallet, churn) · new customers in existing markets · new products for existing customers · new markets · acquisitions and partnerships · **price** (often the fastest, most under-used lever)
- **Revenue growth = market growth + share change**: growing 5% in a market growing 12% means losing ground

3. Market entry and new products

- **Attractive?** (size, growth, margins, regulation, Five Forces) → **Can we win?** (competitors, our capabilities, brand, channels) → **Economics?** (entry cost, unit economics, break-even, NPV) → **Entry mode?** (build, buy, partner)
- Build: control, slow · Buy: fast, expensive, integration risk · Partner: shared risk, less control
- New products: watch **cannibalisation** and run a test-and-learn pilot

- End with **conditions**: 'go, provided we reach 8% share by year three; stop if the pilot shows less than Y'

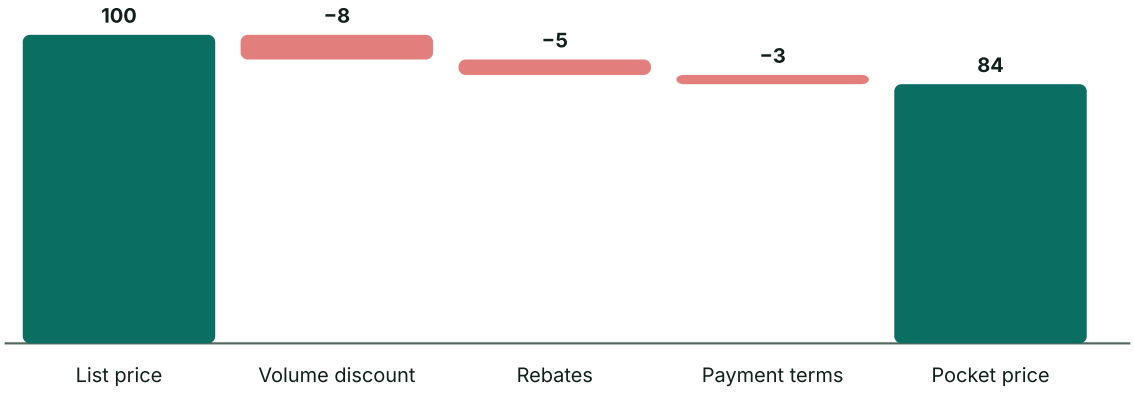
4. M&A and due diligence

- Strategic rationale → target attractiveness → **synergies** → valuation and price → risks and integration
- **Cost synergies** (procurement, overlapping functions) are reliable; **revenue synergies** (cross-selling) are often overestimated, so discount them
- **Commercial due diligence**: is the business plan achievable? Test market growth, share, loyalty, threats, margins
- Valuation: **DCF** (intrinsic), **trading comparables** (EV/EBITDA of listed peers), **precedent transactions** (multiples paid, including a control premium)

5. Pricing

- **Cost-plus** (simple, ignores willingness to pay) · **competitor-based** · **value-based** (captures the most, needs customer insight)
- Cost sets the floor, value sets the ceiling, competitors show where in between you can land
- **Price elasticity**: % change in volume for a 1% price change
- **Price waterfall**: list price down through discounts, rebates and terms to the pocket price actually received
- With a 10% operating margin, a 1% price rise with no volume loss raises profit by about **10%**

✎ DIAGRAM



Leakage between list and pocket price is often large and fixable.

6. Cost reduction and unusual cases

- **Baseline** (cost by category, function, driver, vs benchmarks) → **levers** (procurement, operations, organisation, demand) → **prioritise** by effort and risk → **sustain** (track vs baseline, build into budgets)
- Public sector: impact per dollar, define the outcome metric first · Competitive response: size the threat before reacting · Digital and AI: start from outcomes and use cases, then data, capabilities, change
- **Universal fallback**: what's the objective, how is it measured, what drives it, which driver can we move most?

SAY IT

"Revenue growth equals market growth plus share change, so I'd first check which one is moving before suggesting anything."